Deutsche Bank
Research

Rating
Buy

Asia
China

Consumer
Restaurants

Company
Yum China

Reuters	Bloomberg
9987.HK	9987 HK

Date
20 July 2026

Rating	Buy
Price target (HKD)	476.0
Price at 17 Jul 26	347.8
52-week range	450.0 – 316.2

Valuation & Risks

Pre-2Q: in line with guidance, Expect more color on debt financing and weather impact

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Expectations for 2Q26 release

Yum China (YUMC) will report 2Q26 results on July 30 at 7:00PM (HKT). Factoring in the 2Q26 guidance, we expect YUMC's total revenue and OP to increase by mid-single digits (MSD) and high-single digits (HSD) YoY in 2Q26 (FX-neutral), respectively, with net income at around $230-240mn.

- We expect company-level SSSG to increase slightly by 1% YoY with approximately 400-500 new store openings in 2Q26.
- Restaurant margin may slightly drop by 0.3ppt YoY primarily due to labour cost pressure, given the delivery mix YoY, particularly in 1H, may still increase. However, we anticipate ongoing savings in occupancy & other cost, supported by YUMC's focus on negotiating and lowering rental cost for new and existing stores.
- Despite restaurant margin pressure, we expect OP margin to remain stable YoY, protected by YUMC's continuous focus on operational efficiency improvements.

What to watch for at the results analyst briefing

- Regarding the $1.2bn Pizza Hut China brand ownership acquisition, we expect further details on the debt financing plan and YUMC's strategy to protect its cash position afterwards.
- The unfavourable weather since late June (e.g. flood in Guangxi and heavy precipitation across southern and northern regions) has broadly affected consumption, based on our channel checks. We expect YUMC to comment on the impact on peak season sales and store operations.

Company updates

- KFC launched *iced products campaign "Keep Friday Cool"* each Friday starting July 10, with a single iced item for RMB6.5 and two iced items for RMB9.9 among 11 selected products and a combo of one iced item and one snack (including either fried chicken products or egg tart) for RMB11.5. The promotion applies across dine-in, self pick-up, and delivery channels.
- We noted that YUMC is strategically diversifying its product SKUs to mitigate raw material cost pressure. For example, the beef price level

remains high (up 14% in 1Q and 6% in 2Q YoY), while the pork price has decreased by around 20% in 1H (per Wind) and shrimp/crayfish prices have seen meaningful declines YTD (per news flow). In response, KFC has launched various crayfish and shrimp products, and V-BURGER introduced a pork burger from June.

- Updates on KFC and PZH brand extensions: based on news flow, 1) V-BURGER has topped 200 stores across 28 cities nationwide; and 2) KPRO has expanded to 300+ stores as of late May (vs. end-2026 target: 600 stores).

Valuation: PT intact at HKD476.00; Reiterate Buy

Based on our market interactions, we think that both onshore and offshore investors currently show a relative preference for low-valuation & high-shareholder-return China consumer stocks amidst the AI investment hype. YUMC, with ~10% shareholder return and currently trading at 14x 2026E P/E (over 1 SD below its 3-year historical average), has rebounded by around 10% since late June. We keep our forecasts unchanged for now and will fine-tune our earnings forecasts post YUMC's 2Q26 results.

Figure 1: Financial Summary

Model updated: 29.04.2026

Asia

China

Consumer

Yum China

Reuters: 9987.HK Bloomberg: 9987 HK

Buy

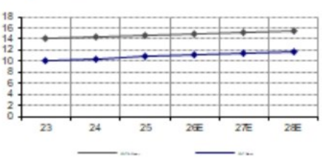
Price (17 Jul 26)	HK$ 347.80
Target price	HK$ 476.00
52-week Rang	HK$ 316.20 – 450.00
Market Cap	HK$ m
	US$ m

Company Profile

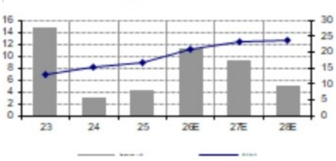
Yum China Holdings, Inc. is a spin-off entity of Yum! Brands (YUM.N) which is listed in the US. The company operates over 14,000 restaurants in China. The company has the exclusive right to operate and sub-license the KFC, Pizza Hut, and Taco Bell brands in China. Yum China also operates the restaurant brands Little Sheep and Huang Ji Huang, and coffee shop brand Lavazza.

1yr Price Performance

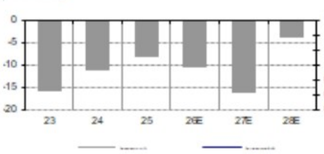
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS ($)	1.97	2.34	2.50	2.87	3.18	3.39
Reported EPS ($)	1.97	2.34	2.50	2.87	3.18	3.39
DPS ($)	0.55	0.72	1.01	1.16	1.28	1.37
BVPS ($)	15.40	14.76	14.58	13.32	13.97	14.63
Weighted average shares (m)	416.0	388.0	369.0	369.0	369.0	369.0
Average market cap (US$m)	23,186	15,199	17,010	na	na	na
Enterprise value (US$m)	19,703	12,598	15,281	na	na	na
Valuation Metrics						
P/E (DB) (x)	28.3	16.8	18.4	15.5	14.0	13.1
P/E (Reported) (x)	28.3	16.8	18.4	15.5	14.0	13.1
P/BV (x)	2.76	3.26	3.25	3.33	3.17	3.03
FCF Yield (%)	3.3	4.7	4.9	8.6	6.7	4.8
Dividend Yield (%)	1.0	1.8	2.2	2.6	2.9	3.1
EV/Sales (x)	1.79	1.11	1.30	na	na	na
EV/EBITDA (x)	12.6	7.7	8.8	na	na	na
EV/EBIT (x)	17.8	10.8	11.8	na	na	na
Income Statement (US$m)						
Sales revenue	10,978	11,303	11,797	13,119	14,323	15,053
Gross profit	7,754	7,916	8,342	9,272	10,119	10,645
EBITDA	1,559	1,638	1,738	1,943	2,160	2,314
Depreciation	453	476	448	473	516	555
Amortisation	0	0	0	0	0	0
EBIT	1,106	1,162	1,290	1,470	1,645	1,759
Net interest income(expense)	169	129	92	85	78	80
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	-49	40	-24	0	0	0
Profit before tax	1,226	1,331	1,358	1,554	1,723	1,839
Income tax expense	329	356	369	422	468	500
Minorities	74	69	75	86	96	102
Other post-tax income/(expense)	4	5	15	17	19	20
Net profit	827	911	929	1,063	1,178	1,258
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	827	911	929	1,063	1,178	1,258
Cash Flow (US$m)						
Cash flow from operations	1,473	1,419	1,466	2,114	1,820	1,513
Net Capex	-710	-705	-626	-699	-723	-725
Free cash flow	763	714	840	1,415	1,096	788
Equity raised/(bought back)	-613	-1,249	-1,144	-1,100	-460	-510
Dividends paid	-293	-328	-428	-429	-475	-507
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	141	458	515	216	216	-500
Net cash flow	-2	-405	-217	102	377	-729
Change in working capital	*-358*	*-454*	*-511*	*91*	*-371*	*-803*
Balance Sheet (US$m)						
Cash and other liquid assets	1,128	723	506	608	985	257
Tangible fixed assets	2,310	2,407	2,543	2,779	2,997	3,176
Goodwill/intangible assets	2,082	2,024	2,111	2,111	2,111	2,111
Associates/investments	3,069	2,577	1,943	1,727	1,511	2,011
Other assets	3,442	3,390	3,680	3,712	4,217	4,704
Total assets	12,031	11,121	10,783	10,937	11,821	12,259
Interest bearing debt	0	0	0	0	0	0
Other liabilities	4,912	4,694	4,684	5,217	5,763	5,858
Total liabilities	4,912	4,694	4,684	5,217	5,763	5,858
Shareholders' equity	6,405	5,728	5,379	4,913	5,156	5,397
Minorities	714	699	720	806	902	1,004
Total shareholders' equity	7,119	6,427	6,099	5,719	6,058	6,400
Net debt	*-1,128*	*-723*	*-506*	*-608*	*-985*	*-257*
Key Company Metrics						
Sales growth (%)	14.7	3.0	4.4	11.2	9.2	5.1
DB EPS growth (%)	89.3	18.6	7.2	14.4	10.8	6.8
EBITDA Margin (%)	14.2	14.5	14.7	14.8	15.1	15.4
EBIT Margin (%)	10.1	10.3	10.9	11.2	11.5	11.7
Payout ratio (%)	27.7	30.7	40.1	40.1	40.1	40.1
ROE (%)	12.8	15.0	16.7	20.7	23.4	23.8
Capex/sales (%)	6.5	6.2	5.3	5.3	5.1	4.8
Capex/depreciation (x)	1.6	1.5	1.4	1.5	1.4	1.3
Net debt/equity (%)	-15.8	-11.2	-8.3	-10.6	-16.3	-4.0
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

Company	Ticker	Recent price	Disclosure
Yum China	9987.HK	347.8 (HKD) 17 Jul 26	2

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Historical recommendations and target price: Yum China (9987.HK)

1.	18 Dec 23	Price target: 453 (HKD), close price 309 (HKD), Recommendation: Buy, Analyst: Han Zhang
2.	7 Feb 24	Price target: 438 (HKD), close price 332.8 (HKD), Recommendation: Buy, Analyst: Han Zhang
3.	30 Apr 24	Price target: 422 (HKD), close price 294.4 (HKD), Recommendation: Buy, Analyst: Han Zhang
4.	4 Nov 24	Price target: 443 (HKD), close price 360.6 (HKD), Recommendation: Buy, Analyst: Han Zhang
5.	17 Jan 25	Price target: 420 (HKD), close price 339.6 (HKD), Recommendation: Buy, Analyst: Han Zhang
6.	6 Feb 25	Price target: 417 (HKD), close price 364.2 (HKD), Recommendation: Buy, Analyst: Han Zhang
7.	30 Apr 25	Price target: 413 (HKD), close price 362.6 (HKD), Recommendation: Buy, Analyst: Han Zhang
8.	5 Aug 25	Price target: 435 (HKD), close price 370.8 (HKD), Recommendation: Buy, Analyst: Han Zhang
9.	4 Nov 25	Price target: 433 (HKD), close price 352 (HKD), Recommendation: Buy, Analyst: Han Zhang
10.	18 Nov 25	Price target: 438 (HKD), close price 366.4 (HKD), Recommendation: Buy, Analyst: Han Zhang
11.	27 Jan 26	Price target: 435 (HKD), close price 388.4 (HKD), Recommendation: Buy, Analyst: Han Zhang
12.	4 Feb 26	Price target: 451 (HKD), close price 392.4 (HKD), Recommendation: Buy, Analyst: Han Zhang
13.	29 Apr 26	Price target: 476 (HKD), close price 379.2 (HKD), Recommendation: Buy, Analyst: Han Zhang

Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	42%	0%
w/ Banking relationship	42%	35%	0%
w/ MiFID services	63%	52%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	46%	32%	32%
w/ MiFID services	75%	69%	94%

Company Rating and Dispersion Key

The above table provides a snapshot of Deutsche Bank's company research rating distribution across our covered companies. We also present the percentage of companies where Deutsche Bank has provided Investment Banking Services in the past 12 months and/or MIFID Investment and Ancillary services, in the past 12 months. Please see the key and definition of our rating below.

Note - percentages are rounded so may not total 100%.

Covered: The overall rating distribution across all companies under coverage with a rating.

w/Banking relation: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided Investment Banking Services within the previous 12 months.

w/MiFID services: Percentage of companies under coverage with a rating within each of the "buy", "hold" and "sell" categories for which Deutsche Bank has provided MIFID Investment and Ancillary services within the previous 12 months.

Buy/Hold/Sell Percentages: These percentages reflect the proportion of companies within each category that have been assigned the corresponding rating, based on our 12-month view of Total Shareholder Return (TSR).

Rating definitions:

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

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